Instruments (ODIs) are other routes frequently used by the 'Hedge funds' to channelise black money into India, which are kept overseas in major tax-havens. Finally, these funds are not only giving Indian black money a legal re-entry, but also a route to finally exit India.

Q. 18 Write a note on the role of the states in the ongoing process of economic reforms.

Ans. Economic reforms started in 1991–92, but the benefits to the states and the masses looks unbalanced.

Reasons and Solutions

- Due to the special federal structure of India, economic reforms though well-started by the Union, could not be complemented by the states.
- A certain degree of working and effective political and financial autonomy are desirable for the states so that they may move towards reaping the fruits of the reform process.
- Lack of political coordination as well as cooperation between the goverments at the Centre and the states.
- Process of reform should have been initiated by the states and facilitated/supported by the Centre (Union Budget 2002–03 already announced it for future reform).
- The design and centralising nature of the Planning Commission need a change in favour of greater participation from the states so that the deteriorating regional disparities in the reform period (over one and half decades) could be checked (such a change was initiated with the tenth Plan).
- Panchayati Raj Institutions (PRIs) should be given effective powers by the states so that the benefits could reach the masses via mass participation.
- Streamlining of the rules and regulations from the Centre to the states.
- Better governance, check on the menace of corruption, legal reforms, infrastructure support, etc.